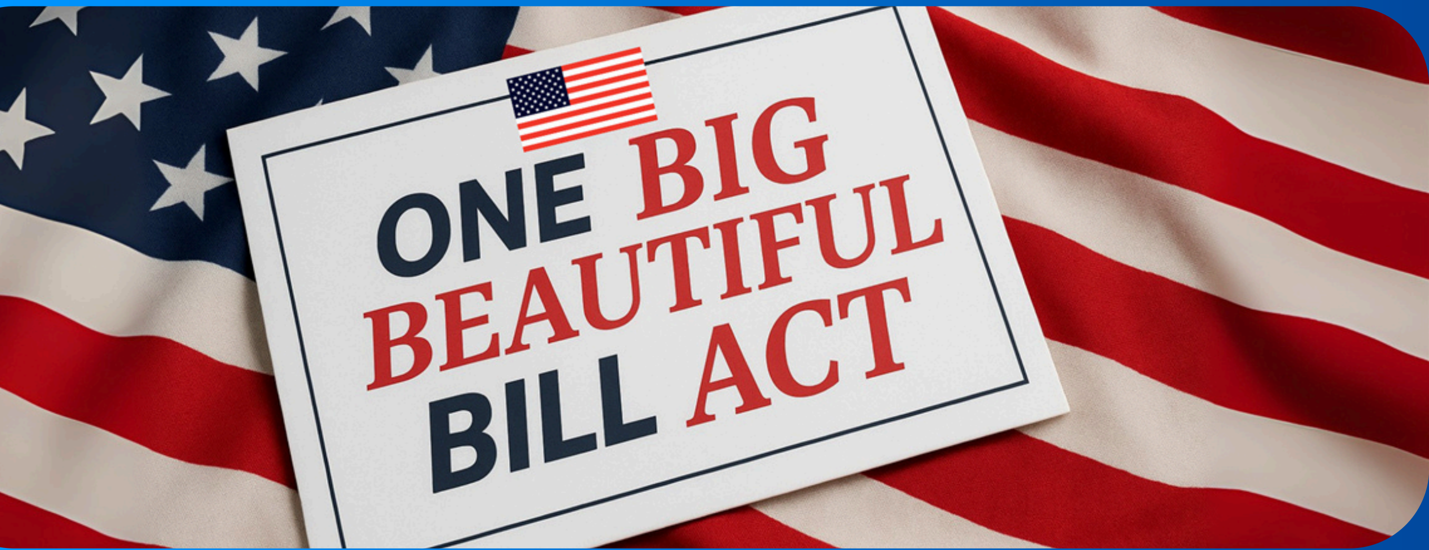
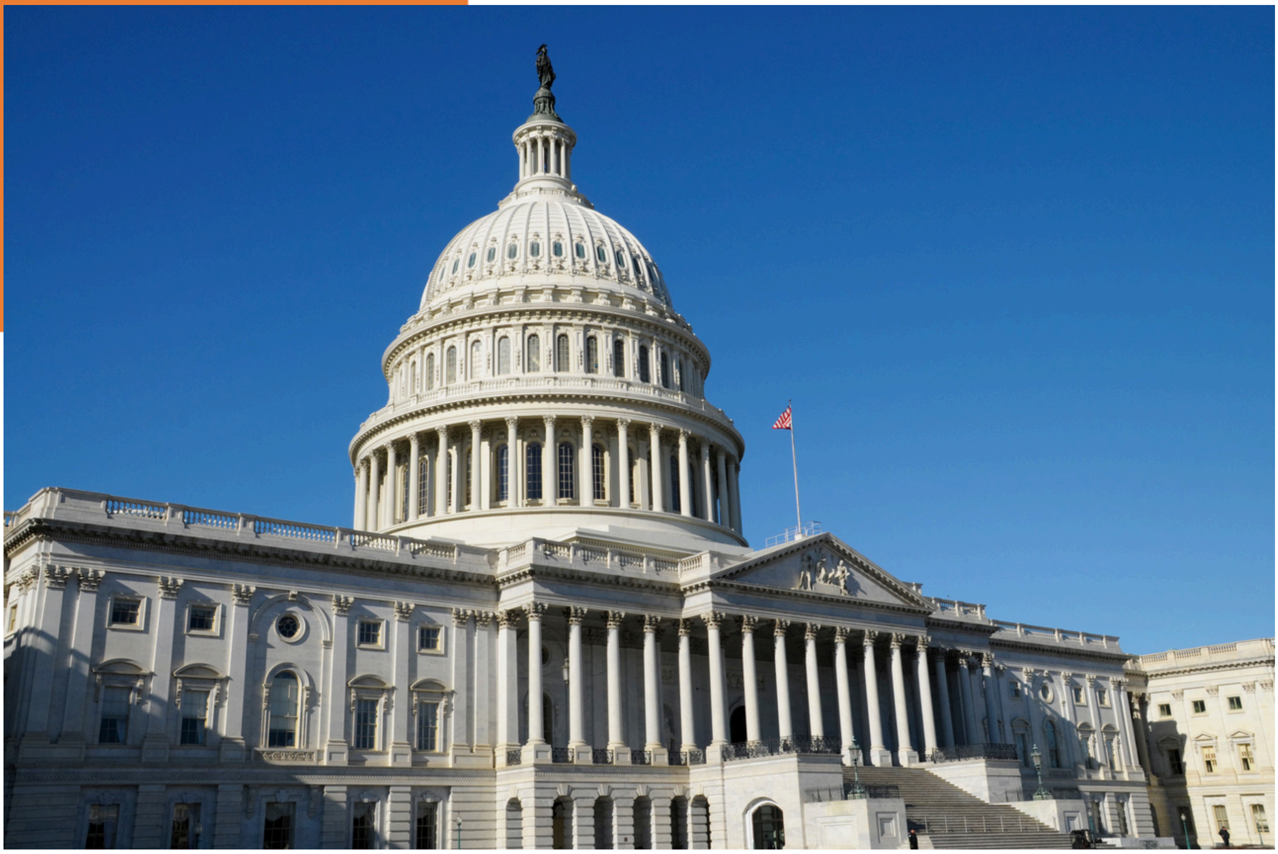
THE BIG BEAUTIFUL BILL: WHAT EVERY ADVISOR NEEDS TO KNOW



Turn Hidden Complexity into Client Wins and Revenue Opportunities



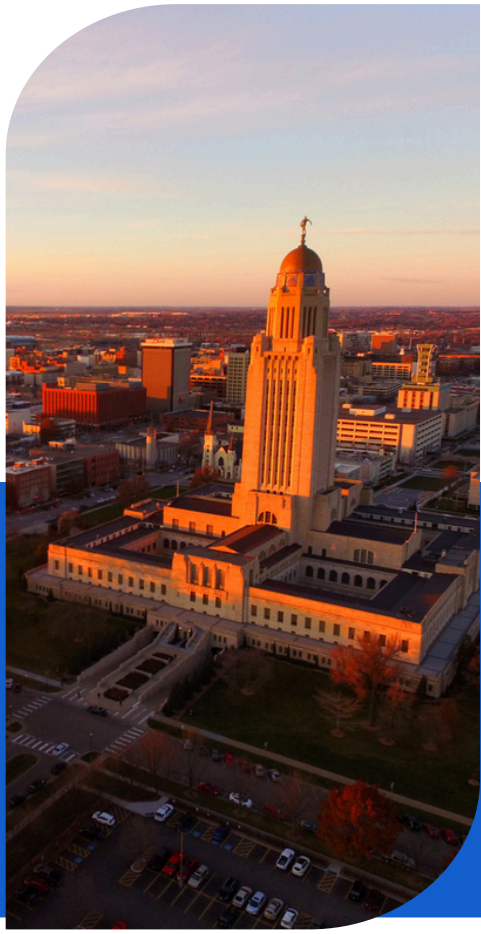
The One Big Beautiful Bill Act of 2025 is one of the most sweeping pieces of legislation in a generation—blending tax reform, business incentives, estate planning changes, and investment restructuring into a single act. But with complexity comes opportunity.

This bill is not just about deductions or depreciation. It's about how multiple provisions interact—and how that interaction creates hidden revenue and planning opportunities for those who can connect the dots.

For advisors, the question is no longer: "How do I help my clients react to these changes?" The real question is: "How can I coordinate a strategy across disciplines to proactively serve clients in a way no one else can?"

Big Picture: Key Highlights of the One Big Beautiful Bill

The One Big Beautiful Bill Act (OBBBA) is more than just another tax overhaul. It's a blueprint that rewrites how income, payroll, business, estate, and investment strategies intersect. The result? New planning opportunities— and potential minefields for those who don't keep up.



Here are the major provisions every advisor must understand:

Permanent 100% Bonus Depreciation

- Applies to both new and used property placed in service.
- No sunset, no phase-out—unlike prior TCJA rules.
- Powerful for equipment-heavy businesses, real estate, agriculture, medical, logistics, and manufacturing.

Expanded & Retroactive R&D (IRC §174) Expensing

- R&D costs are now fully deductible in the year incurred.
- Small business taxpayers with average annual gross receipts of $31 million or less will generally be allowed to implement the immediate deduction retroactively to tax years beginning on or after January 1, 2022.
- Small businesses that previously amortized costs can file amended returns to recover past-year taxes.

Permanent QBI Deduction (IRC 199A)

- 20% deduction on qualified business income is now locked in permanently.
- The wage-and-qualified-property limitation remains in place, but OBBBA expands the taxable-income phase-in band to $75 k (single) and $150 k (joint), so thoughtful entity choice and payroll structuring are still important.

Key Highlights

QSBS (Qualified Small Business Stock) Overhaul

- Lifetime tax-free gain cap increased to $15 million per taxpayer (or 10 × basis), up from $10 million under prior law.
- OBBBA now allows a 50 % exclusion after three years and 75 % after four years—there is no seven-year requirement.
- Entity structure and timing are now critical for founders and early-stage investors.
- Previously, the law allowed business owners to exclude up to $10 million from the sale as long as they held the business for five years or longer. There was a business size cap of $50 million.
- Under the new rule, the exemption increases from $10 to $15 million. The size limit increases from $50 to $75 million.
- Also, under OBBBA, you can get a smaller exemption after just three years. You no longer have to wait the full five years to sell.

New Car Loan Interest Deduction

- Starting with 2025 returns, individuals can deduct up to $10,000 a year in interest on loans used to buy a new, U.S-assembled personal-use vehicle;
- The benefit phases out above $100 k/$200 k of MAGI and does not apply to business or fleet cars.

Overtime and Tips Deduction

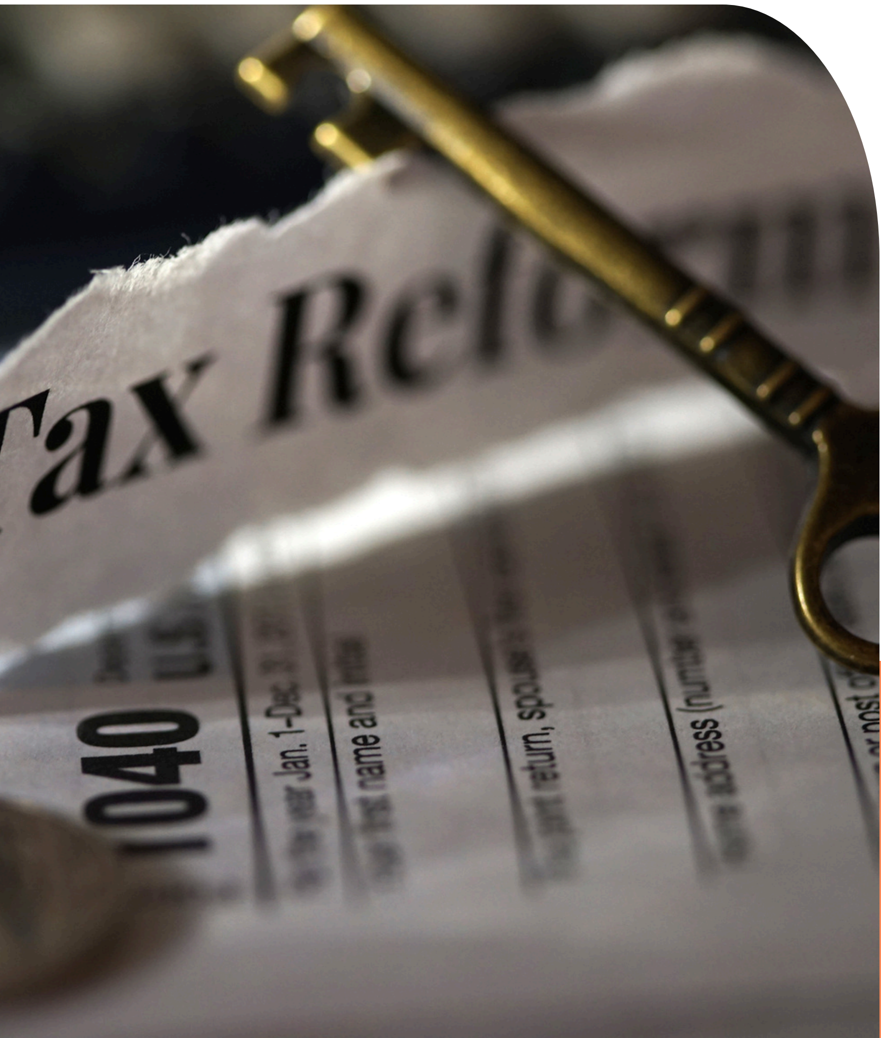
- W-2 employees may deduct up to $25,000 of qualified tips and up to $12,500 of qualified overtime pay ($25,000 if filing jointly).
- Both deductions phase out above $150 k/$300 k of modified AGI and are available through 2028, offering significant relief—especially for hospitality, healthcare, trades, and other hourly or tipped workers.

SALT Cap Increased to $40,000

- SALT deduction cap jumps to $40 k for 2025-2029, with the full benefit available up to $500 k of joint AGI (phasing down above that).
- PTET elections continue to offer an additional workaround—together opening fresh planning angles for taxpayers in high-tax states.

Social Security Income Tax Elimination (Partially)

- **New deduction:** Effective for 2025 through 2028, individuals who are age 65 and older may claim an additional deduction of $6,000. This new deduction is in addition to the current additional standard deduction for seniors under existing law.
- The $6,000 senior deduction is per eligible individual (i.e., $12,000 total for a married couple where both spouses qualify).
- Deduction phases out for taxpayers with modified adjusted gross income over $75,000 ($150,000 for joint filers).
- **Taxpayer eligibility:** Deduction is available for both itemizing and non-itemizing taxpayers.



IRS Enforcement Expansion

- IRS receives massive funding to ramp up pass-through entity audits, R&D claim reviews, and high-income filer examinations.
- More scrutiny on:
- Real estate professionals
- Partnerships/S-corps
- ERC and R&D claims
- Non-traditional income structures (crypto, influencers, gig work)

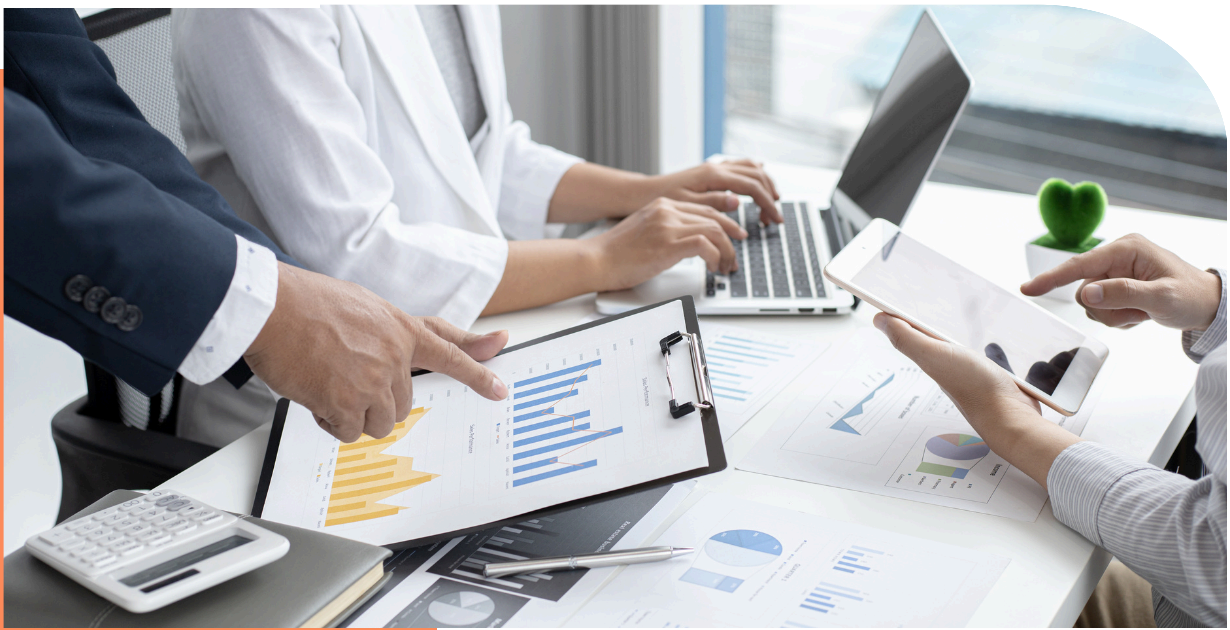
Enhanced Child Tax Credit

- Maximum credit rises to $2,200 per child for 2025 and will be indexed for inflation starting in 2026.
- Can be used alongside employer-dependent care benefits.

Payroll Tax Reforms

- Up to $25k tips and $12.5k/$25k overtime now deductible from federal income, while FICA still applies.

This isn't just technical tax reform. It's a structural reset. Together, these provisions form a web of interconnected opportunities—and risks.



What This Means for Advisors: Layered Complexity, Hidden Value

These changes don't exist in isolation. Most clients are impacted by multiple provisions at once.

Consider:

- A business owner might qualify for 100% bonus depreciation and need a QBI entity restructure and want to shield gains with QSBS.
- A nurse could qualify for the overtime deduction, and suddenly have $3,500+ to invest per year.
- A founder raising capital in 2025 needs coordinated planning across entity selection, tax treatment, and exit strategies.

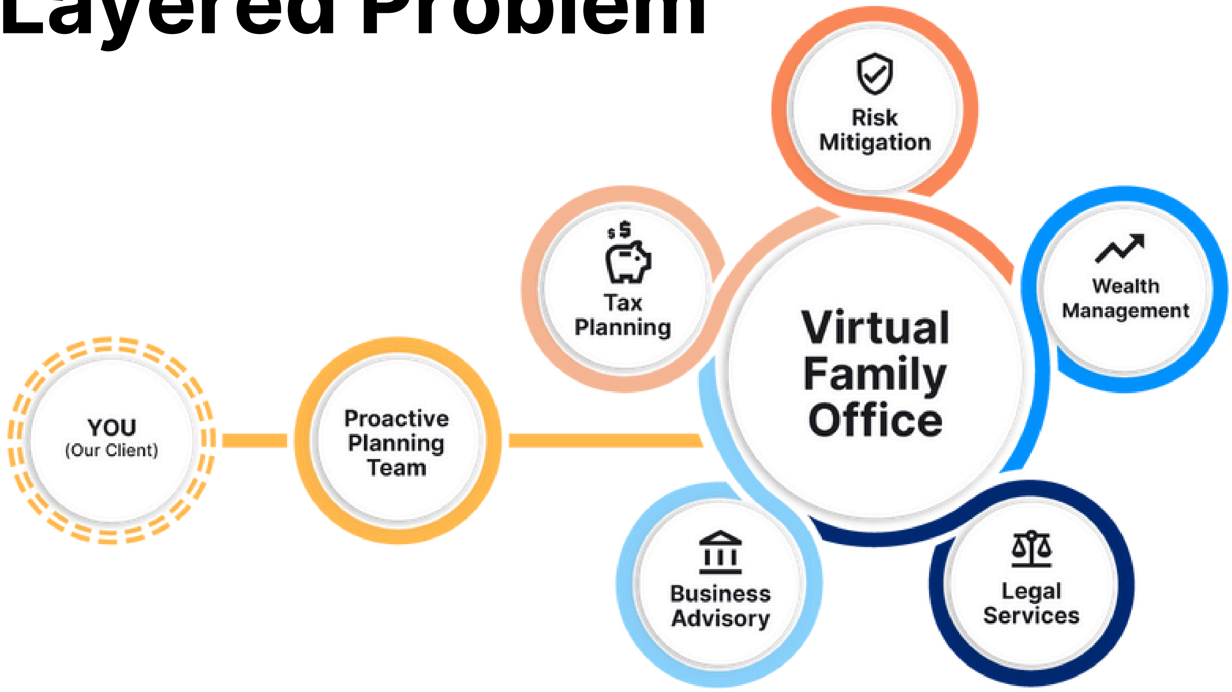
The challenge? No single advisor can navigate it all.

Traditional advisory models are reactive:

"Talk to your CPA. See what they say."

But with the Big Beautiful Bill, reacting isn't enough. Clients need coordinated planning across tax, legal, risk, investment, and business advisory. And they need it fast.

The Virtual Family Office (VFO): A Modern Solution to a Multi-Layered Problem



Traditional Family Offices were built for billionaires. The VFO brings that same expertise—without the overhead—to successful business owners and families.

A Virtual Family Office is a coordinated team of specialists across:

- Tax Planning
- Risk Mitigation
- Legal Strategy
- Business Advisory
- Wealth Management

In this model, you remain the relationship lead, but collaborate with a team of pre-vetted specialists. You orchestrate. They deliver. And you participate in all revenue streams.

Old model: "Let me refer you to five people."
VFO model:"My team handles this. Let's meet Thursday."

The VFO doesn’t just expand your services. It multiplies your value—without multiplying your workload.

ELITE RESOURCE TEAM

Client Examples: What This Looks Like in Practice

Example #1: The Bonus Depreciation Play

A business owner spent $2M on new equipment—but without a coordinated team, he'll miss the full opportunity.

How a VFO Team Could Help:

- **Tax Specialist:** Structures timing to maximize the 100% write-off.
- **Business Advisor:** Models the cash flow impact and aligns purchases with growth strategy.
- **Risk Manager:** Ensures new assets are properly protected.
- **You (the Advisor):** Reinvests tax savings and positions long-term strategy.

The Result:

$700K in tax savings turned into a growth-and-protection play across the board.

Takeaway:

With a VFO, you're the one who brings the moving parts together—and captures the value others miss.

ELITE RESOURCE TEAM

Example #2: The R&D Multiplier

A mid-size engineering firm has no idea they qualify for retroactive R&D deductions.

How a VFO Team Could Help:

- **R&D Specialist:** Identifies qualifying activity and files amended returns.
- **You:** Repositions $150K+ in savings into a long-term investment strategy.
- **Business Advisor:** Connects innovation to future valuation.

The Result:

~$150K in immediate savings turned into a projected $1.5M portfolio gain.

Takeaway:

One overlooked line item—turned into a multi-layered growth strategy.

Example #3: Startup Equity Optimization

A tech founder's QSBS eligibility—and millions in future tax-free gains—are at risk from the start.

How a VFO Team Could Help:

- **Legal Strategy Specialist:** Ensures the entity structure and stock issuance qualify for QSBS treatment.
- **Risk Mitigation Specialist:** Puts personal and business liability protections in place during the multi-year holding period.
- **Business Advisory Specialist:** Guides the founder's growth strategy to stay within QSBS limits and positions the exit for max valuation.
- **You (the Advisor):** Manages investment concentration and builds a liquidity plan around the anticipated exit.

The Result:

Up to $1M in tax-free gains preserved—and a founder who now sees you as the quarterback of her financial future.

Takeaway:

You didn't just manage her portfolio—you safeguarded the entire journey from formation to exit.

The Choice Advisors Must Make

You can't control legislation—**but you can control how prepared you are.**

Without a VFO, you're stuck reacting, telling clients to look for answers elsewhere.

With a VFO, you can proactively identify opportunities across the bill & coordinate strategy, capture more value, deepen trust, and expand your services.

The complexity is real. But so is the opportunity.

Want to see exactly how other advisors are navigating the Big Beautiful Bill with their VFO teams?

Visit EliteRT.com to access real case studies, specialist connections, and tools to help you turn complexity into opportunity.